(i) to provide credit to the weaker sections of the society at concessional rate of interest who previously depended on private money lending and

(ii) to mobilise rural savings and channelise them for supporting productive activities in the rural areas.

Following the suggestions of the *Kelkar Committee*, the government stopped opening new RRBs in 1987 – by that time their total number stood at 196. Due to excessive leanings towards social banking and catering to the highly economically weaker sections, these banks started incurring huge losses by early 1980s. For restructuring and strengthening of the banks, the governments set up two committees – the *Bhandari Committee* (1994–95) and the *Basu Committee* (1995–96). Out of the total, 171 were running in losses in 1998–99 when the government took some serious decisions**:**

(i) the obligation of concessional loans abolished and the RRBs started charging commercial interest rates on its lendings.

(ii) the target clientele (rural masses, weaker sections) was set free now to lend to any body.

After the above-given policy changes, the RRBs started coming out of the red/losses. The CFS has recommended to get them merged with their managing nationalised or public sector banks and finally make them part of the would-be three-tier banking structure of India. At present there are 82 RRBs (46 amalgamated and 36 standalone) functioning in India even though the amalgamation process is going on (*India 2013*).

FINANCIAL SECTOR REFORMS

The process of economic reforms initiated in 1991 had redefined the role of government in the economy—in coming times the economy will be dependent on the greater private participation for its development.[19] Such a changed view to development required an overhauling in the investment structure of the economy. Now the private sector was going to demand high investible capital out of the financial system. Thus, an emergent need was felt to restructure the whole financial system of India.